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THE JAPAN BUSINESS ASSOCIATION IN VIETNAM

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No.: DN01/2017HHDNNB

Re: Collecting fee for use of infrastructure, service and public utilities in the area of checkpoints in Hai Phong

THE SOCIAL REPUBLIC OF VIETNAM

Independent – Freedom – Happiness

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Hanoi, 11st January, 2017

To: ***Mr. Nguyen Xuan Phuc, Prime Minister***

Mr. Vuong Dinh Hue, Deputy Prime Minister

Mr. Trinh Dinh Dung, Deputy Prime Minister

Mr. Mai Tien Dung, Chairman of Government Office

Mr. Nguyen Chi Dung, Minister of Ministry of Planning and Investment

Mr. Dinh Tien Dung, Minister of Ministry of Finance

Mr. Tran Tuan Anh, Minister of Ministry of Industry and Trade

Mr. Truong Quang Nghia, Minister of Ministry of Transportation

Cc: ***Mr. Do Nhat Hoang, Director of Foreign Investment Agency, Ministry of Planning and Investment***

Firstly, The Japan Business Association in Vietnam would like to say sincere thank for your cooperation and support during the pass time. Concurrently, we would like to send you this letter to hope continuously receiving your support in this matter as below:

On 21 December 2016, we received Announcement No. 1548/TB-UBND of Hai An District People's Committee implementing Resolution No. 148/2016/NQ-HDND on 13 December 2016 (*hereafter referred to Resolution 148*) about collecting fee for use of infrastructure, service and public utilities in the area of checkpoints in Hai Phong. According to our opinion, it is impossible to implement this regulation at this time because of these reasons:

Firstly, **issuance of Resolution 148 of Hai Phong People's Council did not obey order and procedure of issuing legal documents.** According to regulation in clause 1, article 113, Law on issuing legal documents 2015: *"The agency that makes the request for resolution formulation shall seek opinions from the entities under the direct impact of the proposed policies and relevant organizations; Post the entire request for resolution formulation on the information portal of the provincial government for at least 30 days"*. However, in fact, there is no any information related to draft of this Resolution in the information portal of Hai Phong. In addition, the enterprises directly affected by this Resolution like us did not receive any information about this draft via any means.

Secondly, **the basis to calculate the fee is not clear.** According to point b, clause 2, article 5, Circular No. 250/2016/TT-BTC: *"The fee for use of infrastructure, service and public utilities in the area of checkpoints is to compensate the cost for recovery, maintenance of servicing condition or recreate technical-social infrastructure, service and public utilities in the area of check points"*.

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However, when issuing Resolution 148, Hai Phong People's Committee did not show the reasonable basis of balance between expected collection amount and the necessary expense using for recovery, maintenance of servicing condition or recreate technical-social infrastructure, service and public utilities.

Thirdly, **these fees stipulated in Resolution 148 are overlapped with other fees which are being paid by enterprises** such as: fee on lifting container on and off, loading fee, storage fee, road maintenance fee, toll, ... As we know, these fees are included in the scope of fee for use of infrastructure, service and public utilities.

Fourthly, **the fees are too high.** Currently, we are paying in average 5,000,000 VND for each container from Hanoi to Hai Phong including all costs such as transportation, insurance, loading, toll, hiring forwarder to make the customs declaration... While the fee for use of infrastructure, service and public utilities in the area of checkpoints in Hai Phong for each 40 feet container is 500,000 VND equivalent to 10% total cost paid by enterprises.

Fifthly, **infrastructure and staffs to implement fee collection of Hai Phong authorities do not meet requirements.** Instruction No. 14/CT-TTg issuing on 10 May 2016 of Prime Minister regulates: *"Not issue the legal document for the fee, charge in the list of fee and charge if it's not necessary yet and have not enough condition for collecting"*. Currently, there are 14 collection points in Hai Phong. Collecting method is manual. Enterprise must assign staff directly to pay cash at such points and receive handwritten fee receipt. After that, enterprise must bring this receipt to show at sea port to receive goods. It takes average from 30 minutes to 60 minutes to finish collecting fee. This lead the delay of releasing of goods at the port, the production and business of enterprise will be interrupted, causing damage to enterprise, especially in this time. Because Tet is peak production season of enterprises.

Sixthly, **collecting fee is against the purpose of Government on business environmental improvement, increasing competitiveness of Vietnam** regulated in Resolution No. 19/NQ-CP. Currently, total cost for each container of Japanese enterprises in Vietnam is higher than other countries in same area. Creating new fee will increase administrative procedure, customs clearance fees and time of customs clearance. Besides, we implement import and export activities in many domestic seaports in Vietnam, other seaports in ASEAN and all over the world but none of places requires this kind of fee. Collecting fee will cause sharp reduction in competitiveness of enterprise, affecting to rank of Vietnam's business environment, leading to risk of reducing foreign investment into Vietnam.

Lastly, **requiring enterprises to start implementing this regulation from 1 January 2017 is too urgent.** We are so passive, cannot negotiate contracts with suppliers or adjusting production plan in 2017. This causes many difficulties for enterprises because the cost is rising dramatically.

With all above reasons, we would like to propose to you as below:

1. Abrogate Resolution 148 about collecting fee for use of infrastructure, service and public utilities in the area of checkpoints in Hai Phong

2. In case the charge is actually necessary, Hai Phong People's Council needs to conduct a investigation, extensive research; collect ideas of enterprises; build reasonable basis about balance between the expected collecting level and necessary expense using for recovery, maintenance of servicing condition or recreate technical-social infrastructure, service and public utilities; regulate suitable fee to ensure not overlap with other fees; regulate a suitable applicable

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route; regulate simple procedure,...to give enterprises enough time for preparation and balancing production cost to not affect to production of enterprises and maintain the competitiveness of enterprises.

We are looking forward to receiving the instruction from related agencies to remove difficulties of enterprises. Therefore, we are able to stably production and contribute more to the socio-economic development of Vietnam!

Once again, thank you very much!

Receiver:
- As above;
- Embassy of Japan in Vietnam;
- The Japanese Business Association of Ho Chi Minh City;
- The Japan Business Association in Danang City;
- Save JBAV Office

THE JAPAN BUSINESS ASSOCIATION IN VIETNAM
Chairman

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BAN LÃNH ĐẠO

TAIJI YANAI

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